LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

YEAR ENDED 31 MARCH 2018

Lanka Orix Leasing Company PLC
Interim Financial Statements
For the year ended 31 March 2018

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Lanka Orix Leasing Company PLC
Statement of Financial Position

As at	Group		Company	
	31-Mar-18	**31-Mar-17**	**31-Mar-18**	**31-Mar-17**
	Rs'000	**Rs'000**	**Rs'000**	**Rs'000**
	Un-audited	**Audited**	**Un-audited**	**Audited**
Assets				
Cash and cash equivalents	51,133,159	54,215,239	281,209	460,015
Trading assets - fair value through profit or loss	3,168,463	3,649,561	341,399	453,204
Investment securities	80,151,780	55,379,321	9,936,231	348,508
Finance lease receivables, hire purchases and operating leases	56,724,874	51,886,989	2,888	4,422
Advances and other loans	493,251,097	366,809,378	2,342,041	785,112
Insurance premium receivables	1,112,966	1,080,758	-	-
Inventories	4,579,202	4,070,523	251,875	364,029
Current tax assets	1,283,342	1,404,425	172,790	131,566
Trade and other current assets	26,059,220	14,979,118	18,307,041	26,262,577
Prepaid lease rentals on leasehold properties	2,305,861	741,279	-	-
Investment properties	14,459,331	9,750,928	882,500	376,600
Biological Assets;				
Consumable Biological Assets	3,305,919	2,984,091	-	-
Bearer Biological Assets	1,212,195	1,151,494	-	-
Investments in group companies;				
Subsidiary companies	-	-	68,301,091	61,670,676
Jointly controlled entities	5,238	-	-	-
Equity accounted investees - Associates	17,446,158	15,764,522	4,314,001	4,314,001
Deferred tax assets	2,105,779	1,492,249	-	-
Intangible assets	13,954,790	13,299,451	220,378	203,084
Property, plant and equipment	50,103,094	42,265,514	5,369,611	6,633,567
Total assets	**822,362,468**	**640,924,840**	**110,723,055**	**102,007,361**
Liabilities and equity				
Liabilities				
Bank overdrafts	9,293,789	7,365,332	2,459,828	1,691,299
Trading liabilities - fair value through profit or loss	754,089	65,287	-	1,252
Deposits liabilities	307,528,599	211,128,007	-	-
Interest bearing borrowings	332,154,647	286,749,284	51,781,300	51,006,998
Insurance provision - life	2,877,926	2,048,422	-	-
Insurance provision - general	3,438,534	2,729,985	-	-
Current tax payables	4,807,628	3,636,203	718,156	623,434
Trade and other payables	37,197,105	17,682,263	3,513,805	1,238,204
Deferred tax liabilities	4,399,395	4,492,485	180,898	219,926
Deferred income	184,404	235,833	-	-
Retirement benefit obligations	1,434,161	2,175,902	291,462	234,548
Total liabilities	**704,070,277**	**538,309,003**	**58,945,449**	**55,015,661**
Equity				
Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
Reserves	12,285,812	8,932,444	3,072,459	3,377,627
Retained earnings	58,169,945	49,442,054	48,229,947	43,138,873
Equity attributable to shareholders of the Company	**70,930,957**	**58,849,698**	**51,777,606**	**46,991,700**
Non-controlling interests	47,361,234	43,766,139	**-**	**-**
Total equity	**118,292,191**	**102,615,837**	**51,777,606**	**46,991,700**
Total liabilities & equity	**822,362,468**	**640,924,840**	**110,723,055**	**102,007,361**
Net assets per share (Rs.)	**149.27**	**123.84**	**108.96**	**98.89**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the fair presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mr. I C Nanayakkara
Deputy Chairman
31st May 2018, Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Group					
	Three Months Ended			Year Ended		
	31-Mar-18 Rs'000	31-Mar-17 Rs'000	Variance	31-Mar-18 Rs'000	31-Mar-17 Rs'000	Variance
Gross income	**41,859,767**	**25,699,600**	**63**	**149,516,211**	**91,715,284**	**63**
Interest income	29,150,060	15,631,265	86	104,772,108	54,573,085	92
Interest expense	(15,042,883)	(9,390,506)	60	(58,518,876)	(33,159,212)	76
Net interest income	**14,107,177**	**6,240,759**	**126**	**46,253,232**	**21,413,873**	**116**
Revenue	5,792,567	6,660,316	(13)	22,647,041	23,441,032	(3)
Cost of sales	(4,504,178)	(3,692,765)	22	(15,448,738)	(14,112,059)	9
Gross profit	**1,288,389**	**2,967,551**	**(57)**	**7,198,303**	**9,328,973**	**(23)**
Income	2,591,688	(121,984)	(2,225)	12,684,740	7,687,454	65
Other income/(expenses) (Including net finance cost)	4,325,452	3,530,003	23	9,412,322	6,013,713	57
Profit before operating expenses	**22,312,706**	**12,616,329**	**77**	**75,548,597**	**44,444,013**	**70**
Operating expenses						
VAT on financial services	468,886	(857,249)	(155)	(1,431,627)	(2,235,764)	(36)
Other direct expenses excluding finance costs	(2,396,982)	(1,235,466)	94	(6,737,778)	(4,963,995)	36
Personnel costs	(4,803,397)	(3,815,695)	26	(18,676,237)	(12,617,864)	48
Net impairment (loss) / reversal on financial assets	(4,074,116)	(2,293,418)	78	(10,056,498)	(4,279,678)	135
Depreciation and amortization	(650,336)	(578,856)	12	(2,321,402)	(1,869,791)	24
Other operating expenses	(3,931,528)	(978,078)	302	(13,325,564)	(8,520,149)	56
Results from operating activities	**6,925,233**	**2,857,567**	**142**	**22,999,491**	**9,956,772**	**131**
Share of profits of equity accounted investees	197,181	796,107	(75)	1,763,094	3,827,962	(54)
Results on acquisition and divestment of group investments	62,177	10,398,123	(99)	63,774	10,594,331	(99)
Profit before income tax expense	**7,184,591**	**14,051,797**	**(49)**	**24,826,359**	**24,379,065**	**2**
Income tax expense	(1,237,216)	(1,046,485)	18	(5,635,099)	(3,458,453)	63
Profit for the period	**5,947,375**	**13,005,312**	**(54)**	**19,191,260**	**20,920,612**	**(8)**
Profit attributable to;						
Equity holders of the Company	2,463,221	9,630,310	(74)	9,726,353	17,157,762	(43)
Non-controlling interests	3,484,154	3,375,002	3	9,464,907	3,762,850	152
	5,947,375	**13,005,312**	**(54)**	**19,191,260**	**20,920,612**	**(8)**
Basic earnings per share (Rs.)	**5.18**	**20.27**	**(74)**	**20.47**	**36.11**	**(43)**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Other Comprehensive Income

	Group					
	Three Months Ended			Year Ended		
	31-Mar-18 Rs'000	31-Mar-17 Rs'000	Variance	31-Mar-18 Rs'000	31-Mar-17 Rs'000	Variance
Profit for the period	**5,947,375**	**13,005,312**	**(54)**	**19,191,260**	**20,920,612**	**(8)**
Other comprehensive income						
Other comprehensive income that will never be reclassified to profit or loss in subsequent periods:						
Revaluation surplus of property, plant and equipment						
Revaluation of property, plant and equipment	2,068,799	3,317,781	(38)	2,068,799	3,317,781	(38)
Related tax	(71,473)	(59,807)	20	(71,473)	(59,807)	20
Defined benefit plan actuarial gains / (losses)						
Re-measurement of defined benefit liabilities	(90,375)	35,918	(352)	(90,375)	35,918	(352)
Related tax	12,961	(7,576)	(271)	12,961	(7,576)	(271)
Share of other comprehensive income of equity accounted investees (net of tax)	402,701	314,949	28	402,701	314,949	28
	2,322,613	**3,601,265**	(36)	**2,322,613**	**3,601,265**	(36)
Other comprehensive income that are or may be reclassified to profit or loss in subsequent periods :						
Available for sale financial instruments						
Net change in fair value of available-for-sale financial assets	7,755	(146,836)	(105)	371,385	(159,712)	(333)
Related tax	(3,019)	-	(100)	(3,019)	-	(100)
Foreign currency translation differences for foreign operations						
Exchange gain from translation of foreign operations	1,303,022	414,601	214	1,133,615	529,655	114
Transfer of translation reserve on disposed foreign associate	(62,177)	(777,589)	100	(63,774)	(777,589)	100
Fair value differences on cash flow hedges						
Net movement in cash flow hedges	(195,713)	221,869	(188)	(280,620)	(106,741)	163
Net change in fair value of cash flow hedges reclassified to profit or loss	(19,188)		(100)	(19,188)	-	(100)
Related tax	114,146	(16,996)	(772)	114,146	(16,996)	(772)
Share of other comprehensive income of equity accounted investees (net of tax)	847,085	688,828	23	847,085	688,828	23
	1,991,911	**383,877**	419	**2,099,630**	**157,445**	1,234
Total other comprehensive income/ (expense) for the year, net of tax	**4,314,524**	**3,985,142**	**8**	**4,422,243**	**3,758,710**	18
Total comprehensive income for the year, net of tax	**10,261,899**	**16,990,454**	**(40)**	**23,613,503**	**24,679,322**	**(4)**
Tota comprehensive income attributable to;						
Equity holders of the Company	5,023,247	13,156,343	(62)	12,405,522	20,397,257	(39)
Non-controlling interests	5,238,652	3,834,111	37	11,207,981	4,282,065	162
	10,261,899	16,990,454	(40)	23,613,503	24,679,322	(4)

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Company					
	Three Months Ended			Year Ended		
	31-Mar-18 Rs.' 000	31-Mar-17 Rs.' 000	Variance %	31-Mar-18 Rs.' 000	31-Mar-17 Rs.' 000	Variance %
Gross income	**8,526,953**	**12,440,125**	**(31)**	**16,304,439**	**20,265,814**	**(20)**
Interest income	882,486	1,217,834	(28)	3,018,225	3,832,011	(21)
Interest expense	(1,617,891)	(1,538,385)	5	(6,066,901)	(5,270,261)	15
Net interest income	**(735,405)**	**(320,551)**	**(22)**	**(3,048,676)**	**(1,438,250)**	**(6)**
Income	1,172,538	1,702,900	(31)	4,210,111	3,967,725	6
Other income/(expenses)	6,471,929	9,519,391	(32)	9,076,103	12,466,078	(27)
Profit before operating expenses	**6,909,062**	**10,901,740**	**(37)**	**10,237,538**	**14,995,553**	**(32)**
Operating expenses						
VAT on financial services	(122,738)	(61,872)	98	(150,752)	(110,052)	37
Other direct expenses excluding finance costs	13,897	12,981	7	(6,911)	(21,046)	(67)
Personnel costs	(533,778)	(921,861)	(42)	(1,616,335)	(1,896,478)	(15)
Net impairment (loss) / reversal on financial assets	(15,050)	1,364	(1,203)	(13,227)	4,908	(369)
Depreciation and amortization	(164,466)	(155,422)	6	(525,646)	(436,931)	20
Other operating expenses	(873,481)	(733,338)	19	(3,161,986)	(2,386,584)	32
Profit before income tax expense	**5,213,446**	**9,043,592**	**(42)**	**4,762,681**	**10,149,370**	**(53)**
Income tax expense	91,389	(134,086)	(168)	(63,327)	(372,071)	(83)
Profit for the period	**5,304,835**	**8,909,506**	**(40)**	**4,699,354**	**9,777,299**	**(52)**
Profit attributable to;						
Equity holders of the Company	5,304,835	8,909,506	(40)	4,699,354	9,777,299	(52)
Non-controlling interests	-	-	-	-	-	-
	5,304,835	**8,909,506**	**(40)**	**4,699,354**	**9,777,299**	**(52)**
Basic earnings per share (Rs.)	**11.16**	**18.75**	**(40)**	**9.89**	**20.58**	**(52)**

Figures in brackets indicate deductions.
The above figures are not audited

Statement of Other Comprehensive Income

	Company					
	Three Months Ended			Year Ended		
	31-Mar-18 Rs.' 000	31-Mar-17 Rs.' 000	Variance %	31-Mar-18 Rs.' 000	31-Mar-17 Rs.' 000	Variance %
Profit for the period	**5,304,835**	**8,909,506**	**(40)**	**4,699,354**	**9,777,299**	**(52)**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	7,766	(79,603)	(110)	(23,299)	(101,931)	(77)
Revaluation of property, plant & equipment	128,789	-	-	128,789	-	-
Deferred tax on revaluation	(11,165)	-	-	(11,165)	-	-
Net movement of cash flow hedges	-	(719)	(100)	-	(719)	(100)
Effect on translation differences for foreign operations	-	-	-	-	-	-
Defined benefit plan actuarial gains / (losses)	(17,194)	18,939	(191)	(17,194)	18,939	(191)
Other comprehensive income/ (expense) for the period, net of tax	**108,196**	**(61,383)**	**(276)**	**77,131**	**(83,711)**	**(192)**
Total comprehensive income / (expense) for the period	**5,413,031**	**8,848,123**	**(39)**	**4,776,485**	**9,693,588**	**(51)**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	5,413,031	8,848,123	(39)	4,776,485	9,693,588	(51)
Non-controlling interests	-	-	-	-	-	-
Total comprehensive income / (expense) for the period	**5,413,031**	**8,848,123**	**(39)**	**4,776,485**	**9,693,588**	**(51)**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the year ended 31 March 2017

Group	Equity Attributable to the Owners of the Company										
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Retained Earnings	Total	Non-controlling Interests	Total Equity
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Defferdt Tax Impact on cash flow hedge											
Balance as at 01 April 2016	**475,200**	**3,434,185**	**218,241**	**(1,105,365)**	**929,777**	**205,000**	**1,754,358**	**31,786,984**	**37,698,380**	**28,677,845**	**66,376,225**
Net movement of cash flow hedges											
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	17,157,762	**17,157,762**	3,762,850	**20,920,612**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	(161,994)	-	-	-	-	**(161,994)**	2,282	**(159,712)**
Revaluation of property, plant and equipment	-	2,951,502	-	-	-	-	-	-	**2,951,502**	222,991	**3,174,493**
Deferred tax on revaluation	-	(48,485)	-	-	-	-	-	-	**(48,485)**	(11,322)	**(59,807)**
Effect on translation differences for foreign operations	-	-	-	-	315,848	-	-	-	**315,848**	215,881	**531,729**
Net movement of cash flow hedges	-	-	(83,034)	-	-	-	-	-	**(83,034)**	(23,707)	**(106,741)**
Defferdt Tax Impact on cash flow hedge	-	-	(16,851)	-	-	-	-	-	**(16,851)**	(145)	**(16,996)**
Re-measurement of defined benefit liabilities	-	-	-	-	-	-	-	(13,245)	**(13,245)**	49,163	**35,918**
Deferred tax on re-measurement of defined benefit liabilities	-	-	-	-	-	-	-	(1,135)	**(1,135)**	(6,441)	**(7,576)**
Share of other comprehensive income of equity accounted investees (net of tax)	-	274,999	-	372,143	276,498	-	-	7,550	**931,190**	72,587	**1,003,777**
Transfer of translation reserve on disposed foreign associate	-	-	-	-	(777,589)	-	-	-	**(777,589)**	-	**(777,589)**
Total other comprehensive income for the period	**-**	**3,178,016**	**(99,885)**	**210,149**	**(185,243)**	**-**	**-**	**(6,830)**	**3,096,207**	**521,289**	**3,617,496**
Total comprehensive income for the period	**-**	**3,178,016**	**(99,885)**	**210,149**	**(185,243)**	**-**	**-**	**17,150,932**	**20,253,969**	**4,284,139**	**24,538,108**
Transactions with owners directly recorded in the Equity											
Contributions by and distributions to owners											
Dividends paid during the period	-	-	-	-	-	-	-	-	**-**	(237,209)	**(237,209)**
Total contribution by/(distribution to) owners of the Company	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(237,209)**	**(237,209)**
Transactions due to changes in group holding											
NCI recognized on acquisition of subsidiaries	-	-	-	-	-	-	-	-	**-**	(2,066,662)	**(2,066,662)**
NCI contribution for subsidiary share issue	-	-	-	-	-	-	-	-	**-**	19,847,015	**19,847,015**
Acquisiton of non-controlling interests		-						859,218	**859,218**	(1,627,691)	**(768,473)**
Disposal of subsidiaries								-	**-**	(4,769,503)	**(4,769,503)**
Changes in ownership interests that do not result in a change in control								38,131	**38,131**	(341,795)	**(303,664)**
Total transactions due to changes in group holding	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**897,349**	**897,349**	**11,041,364**	**11,938,713**
Total transactions with owners directly recorded in the equity	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**897,349**	**897,349**	**10,804,155**	**11,701,504**
Other movements in equity											
Depreciation transfer on revaluation	-	(10,592)	-	-	-	-	-	10,592	**-**	-	**-**
Net transfers to statutory reserve fund	-	-	-	-	-	-	403,803	(403,803)	**-**	-	**-**
Total other movements	**-**	**(10,592)**	**-**	**-**	**-**	**-**	**403,803**	**(393,211)**	**-**	**-**	**-**
Balance as at 31 March 2017	**475,200**	**6,601,609**	**118,356**	**(895,216)**	**744,534**	**205,000**	**2,158,161**	**49,442,054**	**58,849,698**	**43,766,139**	**102,615,837**

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the year ended 31 March 2017

Group	Equity Attributable to the Owners of the Company										
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Retained Earnings	Total	Non-controlling Interests	Total Equity
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2017	**475,200**	**6,601,609**	**118,356**	**(895,216)**	**744,534**	**205,000**	**2,158,161**	**49,442,054**	**58,849,698**	**43,766,139**	**102,615,837**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	9,726,353	**9,726,353**	9,464,907	**19,191,260**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	488,601	-	-	-	(134,656)	**353,945**	17,440	**371,385**
Deferred tax charge/(reversal) Available for sale financial		-	-	(2,717)	-	-	-	-	**(2,717)**	(302)	**(3,019)**
Net movement of cash flow hedges	-	-	(246,364)	-	-	-	-	-	**(246,364)**	(34,256)	**(280,620)**
Defferdt Tax Impact on cash flow hedge	-	-	104,251	-	-	-	-	-	**104,251**	9,895	**114,146**
Net change in fair value of cash flow hedges reclassified to profit or loss	-	-	(17,269)	-	-	-	-	-	**(17,269)**	(1,919)	**(19,188)**
Effect on translation differences for foreign operations	-	-	-	-	504,717	-	-	-	**504,717**	628,898	**1,133,615**
Revaluation of property, plant and equipment	-	1,091,074	-	-	-	-	-	-	**1,091,074**	977,725	**2,068,799**
Deferred tax on revaluation	-	(32,243)	-	-	-	-	-	-	**(32,243)**	(39,230)	**(71,473)**
Re-measurement of defined benefit liabilities	-	-	-	-	-	-	-	(35,593)	**(35,593)**	(54,782)	**(90,375)**
Deferred tax on re-measurement of defined benefit liabilities	-	-	-	-	-	-	-	5,964	**5,964**	6,997	**12,961**
Share of other comprehensive income of equity accounted investees (net of tax)	-	280,317	-	716,780	25,600	-	-	(5,519)	**1,017,178**	232,608	**1,249,786**
Transfer of translation reserve on disposed foreign associate	-	-	-	-	(63,774)	-	-	-	**(63,774)**	-	**(63,774)**
Total other comprehensive income for the period	**-**	**1,339,148**	**(159,382)**	**1,202,664**	**466,543**	**-**	**-**	**(169,804)**	**2,679,169**	**1,743,074**	**4,422,243**
Total comprehensive income for the period	**-**	**1,339,148**	**(159,382)**	**1,202,664**	**466,543**	**-**	**-**	**9,556,549**	**12,405,522**	**11,207,981**	**23,613,503**
Transactions with owners directly recorded in the Equity											
Contributions by and distributions to owners											
Dividends paid during the period	-	-	-	-	-	-	-	-	**-**	(738,557)	**(738,557)**
Dividend forfeited	-	-	-	-	-	-	-	5,240	**5,240**	2,940	**8,180**
Total contribution by/(distribution to) owners of the Company	**-**	**-**	**-**	**-**	**-**	**-**	**-**	5,240	**5,240**	(735,617)	**(730,377)**
Transactions due to changes in group holding											
NCI recognized on acquisition of subsidiaries	-	-	-	-	-	-	-	-	**-**	3,202,311	**3,202,311**
Changes in ownership interests that do not result in a change in control	-	-	-	-	-	-	-	(329,503)	**(329,503)**	(10,087,580)	**(10,417,083)**
NCI contribution on subsidiary share issue	-	-	-	-	-	-	-	-	**-**	8,000	**8,000**
Total transactions due to changes in group holding	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(329,503)**	**(329,503)**	**(6,877,269)**	**(7,206,772)**
Total transactions with owners directly recorded in the equity	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(324,263)**	**(324,263)**	**(7,612,886)**	**(7,937,149)**
Other movements in equity											
Depreciation transfer on revaluation	-	(455)	-	-	-	-	-	455	**-**	-	**-**
Net transfers to statutory reserve fund	-	-	-	-	-	-	504,850	(504,850)	**-**	-	**-**
Cost of share issue of subsidiaries	-	-	-	-	-	-	-	-	**-**	-	**-**
Total other movements	**-**	**(455)**	**-**	**-**	**-**	**-**	**504,850**	**(504,395)**	**-**	**-**	**-**
											-
Balance as at 31 March 2018	**475,200**	**7,940,302**	**(41,026)**	**307,448**	**1,211,077**	**205,000**	**2,663,011**	**58,169,945**	**70,930,957**	**47,361,234**	**118,292,191**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the year ended 31 March 2018

	Equity attributable to the shareholders of the Company						
Company	**Stated Capital**	**Revaluation Reserve**	**Cash flow hedge Reserve**	**Fair Value Reserve on AFS**	**Future Taxation Reserve**	**Retained Earnings**	**Total**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Balance as at 01 April 2016	**475,200**	**1,283,286**	**-**	**165,032**	**205,000**	**33,372,919**	**35,501,437**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	9,777,299	**9,777,299**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	(132,025)	-	-	**(132,025)**
Revaluation of property, plant and equipment	-	1,890,592	-	-	-	-	**1,890,592**
Deffered tax on revaluation	-	(34,258)		-	-	-	**(34,258)**
Re-measurement of defined benefit liabilities	-	-	-	-	-	(11,345)	**(11,345)**
Total comprehensive income for the period	-	1,856,334	-	(132,025)	-	9,765,954	**11,490,263**
Balance as at 31 March 2017	**475,200**	**3,139,620**	**-**	**33,007**	**205,000**	**43,138,873**	**46,991,700**
Balance as at 01 April 2017	**475,200**	**3,139,620**	**-**	**33,007**	**205,000**	**43,138,873**	**46,991,700**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	4,699,354	**4,699,354**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	(23,299)	-	-	**(23,299)**
Revaluation of property, plant and equipment	-	(270,704)	-	-	-	399,493	**128,789**
Deferred tax on revaluation	-	(11,165)	-	-	-	-	**(11,165)**
Defined benefit plan actuarial gains / (losses)	-	-	-	-	-	(13,703)	**(13,703)**
Deferred tax on actuarial gains/losses	-	-	-	-	-	3,837	**3,837**
Dividend forfeited	-	-	-	-	-	2,093	**2,093**
Total comprehensive income for the period	**-**	**(281,869)**	**-**	**(23,299)**	**-**	**5,091,074**	**4,785,906**
Balance as at 31 March 2018	**475,200**	**2,857,751**	**-**	**9,708**	**205,000**	**48,229,947**	**51,777,606**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the year ended 31 March	Group 2018 Rs.' 000	Group 2017 Rs.' 000	Company 2018 Rs.' 000	Company 2017 Rs.' 000
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	24,826,359	24,379,065	4,762,681	10,149,370
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(85,325)	(40,942)	(60,874)	(59,256)
Depreciation and amortization	2,321,402	1,869,791	525,646	436,931
Insurance provision	1,538,053	1,122,315	-	-
Change in fair value of forward contracts	1,648,223	28,699	3,341	-
Provision for gratuity	414,983	345,491	49,317	57,219
Net impairment (loss) / reversal on financial assets	10,056,498	4,279,678	13,227	(4,918)
Provision for fall/(increase) in value of investments	(551,259)	(161,794)	-	(32,691)
Investment Income	(83,128)	(4,656,964)	(3,580)	(309,111)
Finance costs	58,518,876	34,390,845	6,066,901	5,270,261
Interest income	(3,361,527)	-	-	-
(Profit)/loss on sale of quoted and non-quoted shares	(903,588)	21,448	(764)	(12,011)
Share of profits of equity accounted investees	(1,763,094)	(3,827,962)	-	-
Foreign exchange gain / (loss)	1,531,093	(38,925)	-	-
Results on acquisition and divestment of Group investment	(63,774)	(10,594,331)	(5,671,400)	(9,099,508)
Gain in fair value of consumer biological assets	(285,256)	(214,816)	-	-
Change in fair value of investment properties	(1,578,471)	(855,409)	(4,400)	(23,600)
Amortization of deferred income	(73,483)	(85,169)	-	-
Provision for slow moving inventories	-	(53,448)	-	-
Allowance for trade and other receivables	99,739	215,963	-	-
Transaction cost on acquisition of subsidiaries	3,625	303,970	-	-
	92,209,946	**46,427,505**	**5,680,095**	**6,372,686**
Working capital changes				
Increase/(decrease) in trade and other payables	17,832,392	2,761,464	2,459,334	384,311
(Increase)/decrease in investment in leases, hire purchase and others	(6,562,798)	(831,876)	1,534	4,499
(Increase)/decrease in investment in advances and other loans	(133,577,439)	(37,216,615)	(1,556,930)	993,918
(Increase)/decrease in premium receivables	(32,208)	(279,593)	-	-
(Increase)/decrease in inventories	(508,679)	(786,796)	112,153	98,731
(Increase)/decrease in trade and other receivables	(14,192,425)	(2,896,195)	7,914,308	(9,928,268)
Increase/(decrease) in customer deposits	96,184,070	29,344,211	-	-
Cash generated from operations	**51,352,859**	**36,522,105**	**14,610,494**	**(2,074,123)**
Finance cost paid	(58,518,876)	(34,862,108)	(6,017,242)	(5,219,512)
Income tax and Economic Service Charge paid	(4,582,167)	(2,092,543)	(208,076)	(41,713)
Defined benefit plan costs paid	(1,250,482)	(236,596)	(6,106)	(7,534)
Net cash from/(used in) operating activities	**(12,998,666)**	**(669,142)**	**8,379,070**	**(7,342,882)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(10,807,257)	(19,004,747)
Net cash and cash equivalents on acquisition of subsidiary	427,486	5,246,189	-	-
Net cash and cash equivalents received on disposal of subsidiary	-	4,932,153	9,849,009	-
Investment in equity accounted investees	(485,332)	(1,331,015)	-	-
Proceeds from disposal of equity accounted investees	-	-	-	12,601,885
Acquisition of non-controlling interests	(10,410,872)	-	-	-
Acquisition of property, plant and equipment and leasehold rights	(9,958,211)	(7,290,473)	(400,722)	(879,320)
Acquisition / (Disposal) of intangible assets	(228,041)	(219,758)	(45,529)	6,937
Net additions to trading assets	1,935,944	(1,111,668)	487	11,624
Net additions to investment securities	(24,067,561)	6,147,413	(9,605,000)	336,035
Proceeds from the sale of property, plant and equipment	1,711,037	198,249	855,375	215,046
Investment income received	3,361,527	4,587,406	-	-
Dividend received	615,338	608,826	40,366	240,193
Net additions to biological assets	(430,797)	(276,609)	-	-
Payment of lease rentals	-	19,749	-	-
Net cash flow from investing activities	**(37,529,482)**	**11,510,462**	**(10,113,271)**	**(6,472,347)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing borrowings	(22,229,493)	16,684,717	(1,402,510)	16,944,239
Principal repayment under finance lease liabilities	(702,094)	(773,220)	(37,590)	(80,344)
Proceeds from long-term interest bearing loans and borrowings	123,570,520	35,132,089	3,628,972	1,007,081
Repayments of long-term interest bearing loans and borrowings	(57,173,968)	(38,423,865)	(4,210,398)	(1,855,849)
Issue/(repayment) of debentures	2,808,392	(18,459)	2,808,392	(140,000)
Dividends paid to non-controlling interests	(738,557)	(237,209)	-	-
NCI contributions to share issue of subsidiaries	-	19,847,015	-	-
Receipt of deferred income	(25,188)	142,508	-	-
NCI contribution to subsidiary share issues	8,000	(768,473)	-	-
Net cash generated from financing activities	**45,517,611**	**31,585,103**	**786,866**	**15,875,127**
Net increase/(decrease) in cash and cash equivalents during the period	(5,010,537)	42,426,423	(947,335)	2,059,898
Cash and cash equivalents at the beginning of the year	46,849,907	4,423,484	(1,231,284)	(3,291,182)
Cash and cash equivalents at the end of the period	**41,839,370**	**46,849,907**	**(2,178,619)**	**(1,231,284)**
Analysis of cash and cash equivalents at the end of the period				
Cash in Hand and Favorable Bank Balances	51,133,159	54,215,239	281,209	460,015
Unfavorable Bank Balances used for cash management purposes	(9,293,789)	(7,365,332)	(2,459,828)	(1,691,299)
	41,839,370	**46,849,907**	**(2,178,619)**	**(1,231,284)**

Figures in brackets indicate deductions.
The above figures are not audited

1 The Statement of Financial Position as at 31 March 2018, Income Statement, Statement of Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the year ended there of are drawn up from unaudited financial statements of the Company, its subsidiaries, associates and joint ventures and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

The presentation and classification of the financial statements of the previous period have been amended, where relevant, for better presentation and to be comparable with those of the current period.

The interim condensed financial statements are presented in Sri Lankan Rupees (LKR) and all values are rounded to the nearest thousand except when otherwise indicated.

2 Accounting policies and methods of computation as stated in the Financial Statements for 2016/17 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, leisure, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2018.

8 Market prices of ordinary shares recorded during the quarter ended 31st March 2018 are as follows;

	Rs.
Closing price	118.00
Highest Price (02nd February, 2017)	126.20
Lowest Price (28th March, 2018)	90.00

9 Information on Company's listed debentures

9.1 Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds of the bond market as at 29th March 2018

	Buying	Selling
4 Year Bond		
Price	103.86	104.211
Yield - %	10.05	9.95
5 Year Bond		
Price	103.822	104.585
Yield - %	10.26	10.07

9.2 Market prices and yield during the period (ex interest)

	4 Year Bond	5 Year Bond
Price	104.0365	104.20
Yield - %	10.00	10.17

		Current period
Yield to maturity of trade done on 29th March 2018		13%
Debt to equity	1.14 times	
Interest cover	1.79 times	
Quick asset ratio	2.85 times	

9.3 The market prices during the period (ex interest)

Highest price	91.05
Lowest price	89.30
Last traded price	90.84

10 Significant movement in the figures are noted in the group financial results and financial position as a result of PRASAC Microfinance Institution Limited becoming a subsidiary from an associate in the comparative period. Further, impact is also noted due to divestment of the investments in Hydro & Plantation sector.

11 One - Off Surplus Arising from Change in Policy Liability Valuation

Based on directions issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL) dated 20 March 2018 and subsequent approval, LOLC LIFE has transferred LKR 256 Mn attributable to non - participating and non unit fund of unit linked business from the life policyholder fund through the Income Statement to the life shareholder fund and held as part of the Restricted Regulatory Reserve under equity in the Statement of Financial Position.

12 Tax expense

The New Income Tax Act No.24 of 2017 was certified on 24th October 2017 and is effective from 01 April 2018. Accordingly, Income tax provisions for the year ended 31 March 2018 were made based on rates applicable for the Year of Assessment 2017/18 with Deferred tax for the same period computed based on rates applicable post 1 April 2018.

Lanka Orix Leasing Company PLC
Operating Segments

For the year ended 31 March 2018	Financial Services	Long term & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	133,283,593	6,393,399	21,112,287	3,292,333	3,363,490	-	(17,928,891)	**149,516,211**
Net interest cost	(57,631,460)	(8,503)	(1,808,925)	(1,700,092)	(547,715)	-	3,177,819	**(58,518,876)**
Cost of sales	-	-	(14,059,145)	(380,814)	(948,022)	-	(60,757)	**(15,448,738)**
Profit before operating expenses	**75,652,133**	**6,384,896**	**5,244,217**	**1,211,427**	**1,867,753**	**-**	**(14,811,829)**	**75,548,597**
Operating expenses	(48,698,185)	(5,678,491)	(4,249,144)	(1,345,475)	(1,488,595)	-	8,910,784	**(52,549,106)**
Results from operating activities	**26,953,948**	**706,405**	**995,073**	**(134,048)**	**379,158**	**-**	**(5,901,045)**	**22,999,491**
Share of profits of equity accounted investees	-	-	-	-	-	1,763,094	-	**1,763,094**
Results of Acquisition/ Divestment of Group Investment	-	-	-	-	-	-	63,774	**63,774**
Profit before taxation	**26,953,948**	**706,405**	**995,073**	**(134,048)**	**379,158**	**1,763,094**	**(5,837,271)**	**24,826,359**
For the year ended 31 March 2017								
Gross income	83,040,289	5,099,982	18,567,797	2,785,890	11,422,106	-	(29,200,780)	91,715,284
Net interest cost	(34,407,470)	-	(1,231,633)	(971,794)	(634,777)	-	4,086,462	(33,159,212)
Cost of sales	-	-	(11,343,469)	(1,112,339)	(1,725,405)	-	69,154	(14,112,059)
Profit before operating expenses	48,632,819	5,099,982	5,992,695	701,757	9,061,924	-	(25,045,164)	44,444,013
Operating expenses	(28,856,495)	(4,467,909)	(3,803,924)	(1,604,664)	(4,238,306)	-	8,484,057	(34,487,241)
Results from operating activities	19,776,324	632,073	2,188,771	(902,907)	4,823,618	-	(16,561,107)	9,956,772
Share of profits of equity accounted investees	-	-	-	-	-	3,827,962	-	3,827,962
Results on acquisition and divestment of group investments	-	-	-	-		-	10,594,331	10,594,331
Profit before taxation	**19,776,324**	**632,073**	**2,188,771**	**(902,907)**	**4,823,618**	**3,827,962**	**(5,966,776)**	**24,379,065**

For the year ended 31 March 2018	Financial Services	Long term & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	10,004,888	1,401	34,895	-	-	-	15,314	**10,056,498**
Depreciation and amortization	1,432,178	56,158	301,729	245,800	251,845	-	33,692	**2,321,402**
Total assets (as at 31 March 2018)	800,514,742	11,669,929	54,270,618	48,217,307	10,255,848	-	(102,565,976)	**822,362,468**
Total liabilities (as at 31 March 2018)	669,048,953	7,704,977	28,337,335	21,667,769	6,809,506	-	(29,498,263)	**704,070,277**
For the year ended 31 March 2017								
Net impairment (loss) / reversal on financial assets	4,081,329	861	197,488	-	-	-	-	**4,279,678**
Depreciation and amortization	857,531	47,896	269,199	282,151	393,989	-	19,025	**1,869,791**
Total assets (as at 31 March 2017)	623,139,736	9,030,458	31,631,751	40,999,938	19,428,821	-	(83,305,864)	**640,924,840**
Total liabilities (as at 31 March 2017)	525,837,051	5,920,706	14,146,667	15,062,881	8,254,854	-	(30,913,156)	**538,309,003**

Lanka Orix Leasing Company PLC
Valuation of Financial Assets and Liabilities

Rs'000

As at 31 March 2018 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	3,168,463	-	-	**3,168,463**	**3,168,463**	Level 1 and Level 2
Investment securities	-	-	12,434,835	67,716,945	**80,151,780**	**80,151,780**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	56,724,874	**56,724,874**	**56,134,935**	Level 3
Advances and other loans	-	-	-	493,251,097	**493,251,097**	**492,931,964**	Level 3
Total financial assets	**-**	**3,168,463**	**12,434,835**	**617,692,916**	**633,296,214**	**632,387,142**	
Trading liabilities - fair value through profit or loss	754,089	-	-	-	**754,089**	**754,089**	Level 1
Deposits liabilities	-	-	-	307,528,599	**307,528,599**	**309,373,771**	Level 3
Interest bearing borrowings	-	-	-	332,154,647	**332,154,647**	**334,147,575**	Level 3
Total financial liabilities	**754,089**	**-**	**-**	**639,683,246**	**640,437,335**	**644,275,434**	

Rs'000

As at 31st March 2017 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	3,649,561	-	-	**3,649,561**	**3,649,561**	Level 1 and Level 2
Investment securities	-	-	9,449,096	45,930,225	**55,379,321**	**55,379,321**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	51,886,989	**51,886,989**	**51,347,364**	Level 3
Advances and other loans	-	-	-	366,809,378	**366,809,378**	**366,572,052**	Level 3
Total financial assets	**-**	**3,649,561**	**9,449,096**	**464,626,592**	**477,725,249**	**476,948,299**	
Trading liabilities - fair value through profit or loss	65,287	-	-	-	**65,287**	**65,287**	Level 1
Deposits liabilities	-	-	-	211,128,007	**211,128,007**	**212,394,775**	Level 3
Interest bearing borrowings	-	-	-	286,749,284	**286,749,284**	**288,469,780**	Level 3
Total financial liabilities	**65,287**	**-**	**-**	**497,877,291**	**497,942,578**	**500,929,842**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 31 March 2018

Directors Name	No of shares	%
Mr. I C Nanayakkara		
Held shares in the following manner		
Mr. I C Nanayakkara	91,613,792	19.279
Sampath Bank/ I C Nanayakkara	61,774,000	13.000
Commercial Bank/ I C Nanayakkara	79,000,000	16.625
Mr. W D K Jayawardena *Group Managing Director / CEO*	-	-
Mrs. K U Amarasinghe	23,760,000	5.000
Deshamanya M D D Peiris	-	-
Mr. R A Fernando	12,600	0.003
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-
Mr. K Okuno *Alternate Director to H Nishio*	-	-
Mr. Kyokazu Ishinabe *Alternate Director to H Yamaguchi*	-	-

Top 20 shareholders as at 31 March 2018

	Shareholder	No. of Shares	% of Issued Capital
1	LOLC Holdings (Private) Limited	142,458,490	29.979
2	Mr. I C Nanayakkara	91,613,792	19.279
3	Commercial Bank of Ceylon PLC/ I C Nanayakkara	79,000,000	16.625
4	Sampath Bank PLC/ Ishara Chinthaka Nanayakkara	61,774,000	13.000
5	Mrs. K U Amarasinghe	23,760,000	5.000
6	Employees Provident Fund	15,182,259	3.195
7	HSBC Intl Nom Ltd - BBH - Matthews International Funds	12,121,473	2.551
8	Renaissance Capital (Private) Limited	8,671,625	1.825
9	HSBC Intl Nom Ltd - BBH - Matthews International Funds	7,511,241	1.581
10	Creation Investments SL 1 LLC	3,889,246	0.818
11	Mrs. I Nanayakkara	2,827,948	0.595
12	Mr. R C De Silva	1,683,200	0.354
13	J B Cocoshell (Pvt) Ltd	1,515,054	0.319
14	Swastika Mills LTD	985,703	0.207
15	Mrs. S N Fernando	818,440	0.172
16	Dr. M Ponnambalam	772,616	0.163
17	Mr. G G Ponnambalam	766,818	0.161
18	Mr. R Maheswaran	500,000	0.105
19	Miss. A Radhakrishnan	500,000	0.105
20	Miss. M P Radhakrishnan	500,000	0.105
		456,851,905	**96.139**

The Public Shareholding as at 31 March 2018 was 16.11 % comprising of 2,836 shareholders.

	31st March 2018
The float adjusted market capitalization	9,033,456,960
Public Shareholding	16.11%
No. of Public shareholders	2,836
Complience Level	Complied under Option 02